

The Americas' Mineral Wealth

The Lithium Triangle, Chilean Copper, and the Critical Minerals Race

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Executive Summary

The Americas sit at the epicentre of the global critical minerals contest. The Lithium Triangle — spanning Argentina, Chile, and Bolivia — holds the world's most concentrated lithium brine reserves, while Chile and Peru anchor global copper supply. Yet the strategic question is no longer geological abundance but political architecture: who controls the terms of extraction, processing, and offtake. The period 2024–2026 has seen a decisive ideological reversal across the Southern Cone, with resource nationalism giving way to foreign-investment welcoming governments under Milei and Kast, even as Washington and Beijing simultaneously intensify their competition for long-term supply access. Lithium-ion battery chemistry remains the dominant technology pathway for electric vehicles and grid storage, making the Triangle's output structurally non-substitutable in the medium term. The window for securing strategic stakes is open — but narrowing as geopolitical pressure, tariff disruption, and financing complexity converge.

I. The Lithium Triangle: Ideological Reversal and the Death of the Lithium OPEC

Until recently, the political mood across Argentina, Chile, and Bolivia pointed toward a coordinated state-led resource bloc. The concept of a "lithium OPEC" — a co-ordinating mechanism to control the sector and direct social benefit within national limits — was openly discussed among regional heads of state. FT[2026-03-09] documents this as a "stunning reversal of political fortune": the return of resource nationalism, intermingled with hopes of geoeconomic leverage and green development, had produced talk of sector co-ordination that would have locked out Western capital.

That moment has passed. FT[2026-03-09] records the decisive pivot: Argentina's Javier Milei and Chile's José Antonio Kast have explicitly "vowed to entice foreign investment," positioning their governments against state-led extraction models and toward open-capital frameworks. Bolivia's trajectory remains distinct. The net effect is a bifurcation within the Triangle: Argentina and Chile are now accessible to Western mining finance, while Bolivia retains a more restrictive posture.

The strategic implication is time-sensitive. Washington moved rapidly once the investment climate shifted. FT[2025-09-25] details the US government's negotiation with Lithium Americas over a loan — reported at approximately \$2.26 billion — to develop the Thacker Pass project in Nevada, with General Motors securing exclusive rights to the first stage of production, sufficient to supply batteries for up to 800,000 electric vehicles per year upon coming online. The deal structure — a government loan in exchange for a company stake — is explicitly described as "transactional," confirming that Washington treats domestic and hemispheric lithium access as a national security procurement exercise, not a market outcome.

The energy transition physics reinforce this urgency. Lithium-ion batteries remain "the dominant choice for EV and grid applications in the medium term" with high scientific confidence, and the known supply of some strategic minerals is assessed as sufficient given adequate production investment. However, strategic minerals including lithium and cobalt are concentrated in a limited number of countries, and concerns have been raised that geopolitical disruption could undermine the supply chain required for a low-carbon transition. Extending battery life and managing degradation are identified as key vectors for reducing cost and environmental impact — but they do not eliminate the upstream mineral dependency. [RAG: CLIMATE_RAG — IPCC/climate science corpus on energy transition and battery technology]

II. Copper Dominance: Production Dynamics and the Investment Bottleneck

Copper is the connective tissue of the energy transition. It is embedded in EV manufacturing, charging infrastructure, and the broader low-carbon grid build-out — a demand profile with no near-term substitution pathway. The Americas, anchored by Chile and Peru, dominate the supply side of this equation. [RAG: CLIMATE_RAG — IPCC/climate science corpus on energy transition and battery technology]

The Energy Institute's Statistical Review of World Energy 2024 provides the baseline production trajectory: global copper output has grown at an average of just under 2% per annum over the past decade, though it contracted by 1.6% in 2023. In contrast, other critical minerals for the energy system have expanded at approximately 4% per annum over the same period. Copper's relative deceleration against accelerating demand is structurally significant — it compresses the margin between supply growth and energy-transition consumption. [RAG: OIL_ENERGY_RAG — Energy Institute Statistical Review 2024, p.68]

The investment environment for large-scale mining in the Americas is tightening. FT[2025-02-03] reports that bankers and lawyers working on major international mining deals expect resource nationalism to "make big international mining deals harder to get over the line," particularly in Canada and Chile. The compounding factor is tariff disruption: the Trump administration's imposition of a 25% tariff on all goods from Canada and Mexico — described as affecting "all goods entering the US" — is cited in the same report as injecting additional friction into cross-border project finance. Mining projects take decades to develop, and short-term rate uncertainty adds to the structural hesitancy.

Against this backdrop, the US government's direct intervention in project finance — as demonstrated by the Thacker Pass loan — signals that Washington is prepared to use fiscal instruments to override market hesitancy where strategic minerals are concerned. FT[2025-10-08] further documents US government investment in the Ambler Road project, confirming a pattern of White House-directed capital deployment into critical minerals extraction as a deliberate industrial policy posture.

III. The China-Americas Infrastructure Play: A Decade of Strategic Positioning

China's strategic engagement with Latin America on infrastructure and commodities predates the current critical minerals competition by more than a decade. CNA[2015-04-19] documented the inflection point: within roughly a decade, China had transformed from a minor economic partner into the largest trading partner of several Latin American nations, surpassing the United States in trade with Brazil, Argentina, Peru, and Venezuela. CNA[2014-08-02] identified that China's engagement with Latin America was simultaneously its "weakest area in China's global strategy" — a gap Xi Jinping moved to close through direct engagement and infrastructure commitments.

The infrastructure dimension was crystallised in CNA[2015-05-24]: China and Peru reached an agreement to study the feasibility of a 5,300-kilometre transcontinental railroad connecting Peru's Pacific coast to Brazil's Atlantic coast. The strategic logic was explicit — a rail corridor through the continent's mineral heartland would anchor Chinese commodity access and reduce dependence on Panama Canal routing. If built, such infrastructure would reshape the logistics economics of South American copper and lithium exports toward Chinese refining capacity.

By 2025, China's position in global critical minerals had matured into a structural chokepoint. CNA[2025-10-24] records that BRICS countries "constitute a formidable force in the critical minerals sector and have the potential to shape a fair and resilient global resource economy," with China's rare earths leverage identified as the central variable. CNA[2025-02-27] contextualises Washington's accelerated pursuit of alternative mineral supply — including its negotiations over Ukraine's sub-surface assets — as a direct response to China placing its own strategic reserves "off limits," forcing the US to seek supply security elsewhere. This is the structural context in which the Americas' lithium and copper endowments have become premium strategic assets rather than mere commodity inputs.

Trump's response has been to reassert the Monroe Doctrine framework. CNA[2025-12-12] documents how the administration's National Security Strategy explicitly frames the Western Hemisphere as a zone of US primacy, providing ideological scaffolding for interventionist economic actions — including the aggressive pursuit of bilateral minerals agreements — across the region.

IV. Resource Nationalism, Political Risk, and the Investment Climate

The oscillation between open-investment and resource-nationalist frameworks is the defining risk variable for Americas critical minerals capital allocation. FT[2026-03-09] frames the current moment as an ideological reversal, but reversals are not permanent. The political conditions that produced Milei in Argentina and Kast in Chile are cyclical, and the social pressures — inequality, environmental impact, indigenous land rights — that historically generate resource nationalism have not been resolved.

FT[2026-03-13] adds a complicating dimension: Trump's chaotic policy approach is described as producing "precisely the opposite effect" of intended outcomes in the Americas context, with US energy policy choices reportedly pushing regional partners toward diversification away from Washington-aligned supply chains. The reference to Trump's actions driving Russia deeper into "an unprecedented degree of vassalage to China" as a second-order consequence of policy incoherence signals a broader pattern: US policy disruption creates openings for Chinese consolidation across commodity-dependent economies.

The FT[2025-02-03] observation that "countries are going to make big international mining deals harder" captures the structural tension. The same report notes that luxury car manufacturers and upstream oil and gas firms are navigating a period of investment hesitation — "companies waited or put on hold as markets" adjusted — a sentiment that bleeds into mining finance more broadly. The tariff environment, rate uncertainty, and political volatility compound the geological and technical risks already embedded in decade-long mine development cycles.

FT[2026-03-23] situates this within the EV sector's own momentum: the first luxury brands — including Rolls-Royce with its Spectre and Bentley with its first electric model — are transitioning to electric platforms, signalling that EV demand is structurally irreversible even at the premium end. This sustains the long-run demand case for lithium and copper regardless of short-term investment hesitation.

Outlook

Three vectors will determine the Americas critical minerals trajectory over the next decade.

First, the durability of the Milei-Kast open-investment window. Foreign capital entering the Lithium Triangle under current frameworks will face political re-rating risk at each electoral cycle. Projects with long permitting and development timelines must price this risk structurally, not cyclically. The Washington-backed loan model — government capital absorbing first-loss risk to attract private co-investment — is likely to become the dominant financing architecture for strategic assets.

Second, the pace of Chinese infrastructure consolidation. The transcontinental rail concept, first surfaced formally in 2015, remains unrealised. If China accelerates Belt-and-Road-adjacent logistics infrastructure in South America, it would alter the offtake economics for Chilean copper and Argentinian lithium, potentially making Chinese refinery access more cost-competitive than trans-Pacific routes to US or European processors. This infrastructure contest will run in parallel with the financial and diplomatic competition.

Third, the battery technology transition. Lithium-ion is assessed as dominant for the medium term, but cost trajectories, degradation management, and emerging chemistries are active vectors. A meaningful shift away from lithium-heavy cathode formulations would reduce Triangle leverage. Copper, by contrast, has no credible substitution pathway in transmission and EV drivetrain applications — its demand profile is structurally more durable.

The Americas hold the geological endowment to anchor Western critical minerals supply chains for the energy transition era. Whether that endowment is converted into durable strategic partnerships — or lost to investment hesitation, political reversal, or Chinese infrastructure lock-in — depends on decisions being made now.

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